Memo: Recommended deal-approval guardrail for usage-based AI API contracts

To: Deal Desk and Finance leadership (hypothetical)
From: TH
Date: 22 October 2026
Status: Illustrative exercise built on public list prices and simulated deals. Not real deal experience, and not company data.

Recommendation

Approve discounts in three tiers, and add one control: **any discount above 20% needs Finance to verify the deal's actual margin before approval.**

Approver	Maximum discount
Sales rep	15%
Sales manager	35%
Finance	45%
Above 45%	Executive exception

Why

A discount lowers price but not cost, so the largest discount a deal can take before gross margin falls below a floor is: **d = 1 − (1 − margin) / (1 − floor)**. With a 25% floor, that is about 47% if true gross margin is 60% (Base), but only 20% if it is 40% (Low).

No provider publishes per-deal margins, and public estimates for AI vendors vary widely with how margin is defined. The tiers above come from the Base case. The extra control protects against the Low case being the true one.

What the test shows (12 simulated deals, $17.8M total contract value)

	Base margin (60%)	Low margin (40%)
Rep / Manager / Finance approvals	5 / 5 / 2	2 / 3 / 2

	Base margin (60%)	Low margin (40%)
Deals below the margin floor	0	5 (42% of deals)
Share of contract value in those deals	0%	91%
Blended gross margin, all deals	35.7%	3.6%

The five deals above 20% carry nearly all of the value. The extra Finance check therefore reviews 42% of deals but covers about 91% of the money at risk.

Trade-off

- **Protects:** margin on the largest, longest deals if true margin turns out to be lower than assumed.
- **Costs:** added delay on about four in ten deals. Finance review needs a fast service level (for example, one business day) so it does not slow closing.

How to monitor it

- Approval cycle time for deals above 20%.
- Share of deals escalated, by tier.
- Realised gross margin against the floor.
- Override rate, to detect approval fatigue.

What would change this recommendation

- Validated cost data showing margin of 60% or more: drop the extra check and keep the three tiers.
- Evidence that Finance review delays lose deals: lower the check's threshold to the largest deals only.
- Margin below 40%: tighten the tiers to 5% / 15% / 20%.

Limits

Deals, margins and the 25% floor are assumptions. The model tests discount depth only, not term length, prepayment or commit structure. Results are directional, and the guardrail is a deal-level gross margin control that says nothing about any company's overall profit.